

Micron Technology, Inc.

MU NASDAQ

Buy	\$897.76 ▲ 0.51%	12M Price Target \$1100.00	52-Week Range \$110.79 – \$1255.00	Market Cap \$1.01T
-----	------------------	-------------------------------	---------------------------------------	-----------------------

MU: Memory Selloff is Noise, AI Cycle Still Early

WHAT HAPPENED

- Memory stocks got whacked overnight — WDC down 16%, SanDisk down 11%, MU down 6% intraday before clawing back to finish +0.5%. That intraday recovery is actually the story here: buyers stepped in hard on the dip, which tells you institutions are treating this as a buying opportunity, not the top.
- Michael Burry apparently made a "market top" call and Steve Eisman pushed back — meanwhile Citi told clients to buy the memory pullback because "the upcycle is still in early innings." When Wall Street's memory analysts and the market disagree with the doomsayers, usually follow the guys who cover the industry daily.

WHY IT MATTERS

Here's what today really means: the market tried to sell memory as a "cycle top" story, and the smart money said no. MU giving back a 6% drop to close green is textbook institutional accumulation — someone with a big checkbook is defending this level. The bigger picture: AI hyperscalers (Microsoft, Meta, Google, Amazon) just guided to record 2026 capex, and HBM (high-bandwidth memory — the stuff that goes into Nvidia GPUs) is still sold out through 2027. This isn't a demand problem, it's a positioning problem where fast money got scared and bailed. Watch for follow-through buying tomorrow — if MU holds \$890, the selloff is done.

POLICY & POLITICAL WATCH

Micron is arguably the biggest CHIPS Act winner — they got ~\$6.1B in direct grants for the Idaho and New York fabs, and the Trump administration has been surprisingly hands-off on clawing those back despite earlier rhetoric. The active political tailwind right now: expanded export controls on advanced memory to China (rumored expansion in Q4) would actually help MU by locking Chinese competitor CXMT out of premium HBM markets. Watch the Section 232 semiconductor tariff investigation — if Commerce recommends tariffs on imported memory, MU (US-based production) becomes the domestic price-setter overnight.

IS IT EXPENSIVE?

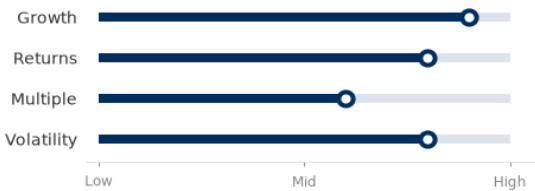
At ~\$900 and ~\$1T market cap, MU trades around 62x this year's earnings but only ~40x next year's — meaning investors are paying \$40 for every \$1 the company is expected to earn in FY27. That sounds expensive, but memory is cyclical and you always want to buy it when P/Es look high (earnings ramping) and sell when they look cheap (earnings peaking). The stock has 10x'd from its 52-week low of \$110 — so yes, most of the easy money is made, but if HBM pricing holds through 2027, earnings power is still catching up to the stock.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$897.76
12M Price Target	\$1100.00
Upside / (Downside)	+22.5%
Market Cap	\$1.01T
FY2026E Revenue	\$52,000M
FY2027E Revenue	\$68,000M
FY2026E EPS	\$14.50
FY2027E EPS	\$22.00
Fwd P/E	62.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$980.00	\$910.00	\$820.00
6 Months	\$1150.00	\$1000.00	\$780.00
1 Year	\$1350.00	\$1100.00	\$750.00
2 Years	\$1700.00	\$1300.00	\$650.00
5 Years	\$2500.00	\$1700.00	\$500.00
10 Years	\$4000.00	\$2500.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.7% 5D) and Consumer Discretionary (+6.3% 5D) — Materials is likely benefiting from infrastructure/reshoring spending, and Consumer Disc suggests the "recession is coming" narrative is fading.

COOLING OFF: Storage/commodity memory (WDC, SanDisk getting crushed today) — this is a NAND flash pricing story, not a DRAM/HBM story, which is why MU is holding up so much better.

ROTATION WATCH: Money is rotating OUT of commodity storage and INTO differentiated AI compute names. That's actually bullish for MU because HBM is closer to the AI compute story than the storage story — the market is starting to separate winners from losers within semis.

RELATED PLAY: If you believe the HBM thesis, the semiconductor equipment names (LRCX, AMAT) benefit second-order because MU and peers need to keep buying tools to expand HBM capacity through 2027.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI compute king — every GPU they ship needs MU's HBM inside it, so they're basically Micron's biggest customer.
- AVGO (Broadcom): Custom AI chip demand for hyperscalers keeps growing, which means more memory demand downstream.

MU CONTEXT: MU is holding up dramatically better than WDC (-16%) and SanDisk (-11%) today, which tells you the market is correctly distinguishing HBM (AI memory, sold out) from NAND (commodity storage, oversupplied). MU is being treated as an AI stock, not a storage stock — that's the right framing and it's why the multiple deserves to stay elevated.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm not pounding the table at \$900 like I would've at \$500, but the AI memory cycle has legs and MU is the best-positioned name in it.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a 20% drawdown doesn't ruin your year. This stock swings.

ENTRY POINTS: Add on memory-panic days like today when it drops 5%+ intraday and recovers. The \$820-860 zone is where institutional bids showed up this week.

TIME HORIZON: 12-24 months — the catalyst is FY27 earnings estimates getting revised up as HBM contracts get signed for 2027 delivery. Those announcements start hitting in Q4.

WHEN TO BAIL: If any hyperscaler cuts 2026 capex guidance, or if MU guides HBM pricing down on the next earnings call — either one and you trim immediately.

HEDGING: If you're nervous, buy some downside protection via SOXX puts (cheaper than MU puts and covers the whole sector), or pair the MU long with a short in a weaker memory name like WDC to isolate the HBM thesis.